

3.4 Influences on business decisions

Subject content	What students need to learn:
3.4.1 Corporate influences	a) Corporate timescales: short-termism versus long-termism b) Evidence-based versus subjective decision making
3.4.2 Corporate culture	a) Strong and weak cultures b) Classification of company cultures: - o power - o role - o task - o person c) How corporate culture is formed d) Difficulties in changing an established culture
3.4.3 Shareholders versus stakeholders	a) Internal and external stakeholders b) Stakeholder objectives c) Stakeholder and shareholder influences: - o stakeholder: that the business considers all of its stakeholders in its business decisions/objectives - o shareholder: that the business should focus purely on shareholder returns (increasing share price and dividends) in its business decisions/objectives d) The potential for conflict between profit-based (shareholder) and wider objectives (stakeholder)
3.4.4 Business ethics	a) Ethics of strategic decisions: o trade-offs between profit and ethics b) Pay and rewards c) Corporate Social Responsibility (CSR)